

Savita Oil Technologies Ltd

Concall-tracker report | Ticker: SOTL (BSE 524667 / NSE SOTL) | 05 July 2026 | **Hybrid source: 16 quarterly investor-presentation decks + web deep-dive (no earnings concalls exist)**

1. Snapshot — what the company is

Savita Oil is a 60-year-old Mumbai-based maker of **petroleum specialty products**. In plain terms it buys base oil (a refined petroleum feedstock) and turns it into higher-value fluids: **transformer oils** (the insulating and cooling liquid inside electricity transformers), **white & mineral oils** (used in cosmetics, pharma, plastics), **formulated specialty products** (waxes, optic-fibre cable-filling compounds), and its own **SAVSOL brand** of automotive and industrial lubricants. It also runs **53 MW of wind power**. It sells across 75+ countries and is debt-free.

~₹3,650 cr Market value of the company (share ~₹533, price-to-earnings ~19x). Mid-cap.	₹4,408 cr FY26 total income (all sales for the year) — up 14% on last year, a record.	₹182 cr FY26 net profit (money left after all costs) — up 60%, bouncing back from ₹113 cr in FY25.
6.6% FY26 operating margin (operating profit as % of sales) — thin, because raw material is a swinging commodity.	Nil debt / ~₹508 cr Zero borrowings; ~₹508 cr of cash & investments — a very strong, self-funded balance sheet.	5+ lakh KL FY26 sales volume — crossed 500,000 kilolitres for the first time, up 17%.

Return on capital employed (profit earned on the money invested in the business) was 15% in FY26 — decent, but it had fallen to 11% in FY25 from a peak of 29% in FY22, showing how volatile the profitability is.

2. Concall coverage — what was read

Savita Oil does not appear to hold earnings concalls (analyst conference calls) — no transcripts were available on Screener. This report is based on the company's own quarterly investor presentations plus a web deep-dive. These management-authored slide decks carry a signed quote from the Chairman & MD each quarter, so they serve as the management-communication record in place of a call transcript. Sixteen consecutive decks were read, oldest to newest, covering four full years (every quarter from Q1 FY23 to Q4 FY26).

Deck (month)	Quarter covered	Read?	Deck (month)	Quarter covered	Read?
Aug 2022	Q1 FY23	Yes	Aug 2024	Q1 FY25	Yes
Nov 2022	Q2 FY23	Yes	Nov 2024	Q2 FY25	Yes
Feb 2023	Q3 FY23	Yes	Feb 2025	Q3 FY25	Yes
May 2023	Q4 FY23	Yes	May 2025	Q4 FY25	Yes
Aug 2023	Q1 FY24	Yes	Aug 2025	Q1 FY26	Yes
Nov 2023	Q2 FY24	Yes	Nov 2025	Q2 FY26	Yes
Feb 2024	Q3 FY24	Yes	Feb 2026	Q3 FY26	Yes
Jun 2024	Q4 FY24	Yes	May 2026	Q4 FY26	Yes

Web sources used to supplement: company FY26 earnings release (BSE filing), Screener.in company page, TipRanks and ScanX news write-ups on the FY26 results, and market-sizing reports (IndexBox, Mordor Intelligence, Power Line) on India's transformer and transformer-oil demand. All numbers below are cross-checked against the on-disk snapshot financial statements.

Latest deck highlights — Q4 & FY26 (May 2026)

- Record quarter and year.** Q4 total income ₹1,239 cr, up 22% on the same quarter last year; full-year ₹4,408 cr, up 14%. Profit before tax jumped 60% in the quarter and 57% for the year (to ₹244 cr) — meaning profits grew far faster than sales, a sign margins are recovering.
- Highest-ever volumes.** FY26 volume rose 17% and crossed 500,000 kilolitres for the first time, with double-digit volume growth across *all* divisions in Q4 — so the growth is real physical demand, not just higher prices.
- Premium lubricant scaling.** The Savsol Ester5 range (its new advanced-technology engine oil) grew at 5 times the industry growth rate in FY26 — the fastest-growing part of its consumer business, though off a small base.
- New tie-up.** A multi-year partnership with Mahindra's tractor arm to supply genuine engine oil (MStar brand) through Mahindra's workshop network — a fresh, sticky revenue channel.
- Cash returns.** Final dividend of ₹5 per share recommended; the small GreenTec plastics-recycling subsidiary is being merged into the parent. Tone: confident, "record performance."

2c. Business mix & capacity (quick facts)

Fact	Latest figure (FY26)	Plain read
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Product mix	Petroleum specialty oils (transformer + white + formulated) ~73%; lubricants ~26%; other ~1%	Roughly three-quarters is the specialty-oil base business; about a quarter is branded lubricants.
Domestic vs export	Domestic ~83% / Exports ~17% (was 80/20 in FY22–24, 82/18 in FY25)	About one-sixth of sales are overseas; export share has actually slipped a little as India demand grew faster.
Capacity & utilisation	4 plants; management says operating "at optimal levels." No overall plant-utilisation % is disclosed. The synthetic-ester plant (Mahad) has ~5,000-tonne design capacity, ~3,000 tonnes operational when commissioned.	Record FY26 volumes suggest plants are running hard, but Savita does not publish a utilisation number — so headroom is unclear.

3. Earning-trigger thesis ★

The single story management has told every quarter for four years: Savita is moving from a plain commodity-oil processor to a **higher-value, technology-led player built on its own "ester molecule" platform**, riding India's power and renewable-energy build-out. It is the first Indian company to manufacture the synthetic-ester molecule (plant commercialised August 2023) and the only global maker of all three types of transformer fluid. That one platform is meant to feed three things: (1) **premium Savsol Ester5 lubricants**, (2) **ester-based transformer fluids**, and (3) **new-age fluids** — electric-vehicle coolants, data-centre "immersion" cooling, and battery-energy-storage fluids. Underneath it, the bread-and-butter **transformer-oil business** rides India's grid spending (transmission capacity planned to grow 50%+ by 2030 toward a 500 GW renewable target).

Trigger	What management said	Evidence so far	Time horizon	Strength
Transformer-oil demand from India's grid build-out	Rising transmission investment, grid modernisation and rural electrification will lift demand.	Double-digit transformer-oil volume growth in FY26; ~one-third domestic market share; India transformer market growing ~8% a year.	Structural / ongoing	Strong concrete demand, proven leader
Ester premium lubricants (Savsol Ester5)	Would grow 5–6x industry rate and premiumise the portfolio.	Delivered — grew 5x industry in FY26, positive market response, celebrity brand campaign; but overall lubricant volume growth was only high-single-digit.	2–4 years	Moderate real, but small base
Volume scale + margin recovery	Efficiencies and better mix would restore profitability.	FY26 delivered: record volume, operating margin recovered 5.4%→6.6%, profit before tax +57%.	Now	Moderate delivered, but margins stay thin & commodity-linked
New-age ester fluids — EV cooling, data-centre immersion cooling, battery storage, refrigeration	"Significant volumes"; sunrise segments; global immersion-cooling market to grow from \$0.4bn to \$2bn by 2031.	First immersion-cooling order in Jun 2024; several products "in advanced approvals / nascent stage" — but no material revenue disclosed after 2+ years.	3–5 years	Unproven hyped since 2023, still tiny

4. Management consistency scorecard (promised vs delivered)

Period	What was promised	What actually happened	Verdict
FY23 (Aug'22–May'23)	Invest ~₹50 cr in new products & capacity; commission a synthetic-ester plant in Q2 FY24; grow transformer & lubricant volumes.	Ester plant commissioned on schedule (Aug 2023). Volumes grew, but base-oil price swings and a weaker rupee squeezed margins — profit fell.	Partly
FY24 (Aug'23–Jun'24)	Launch Savsol Ester5, scale ester lubricants, win first immersion-cooling order, sign brand ambassador.	All done: Ester5 launched Jun 2024, actor Sidharth Malhotra signed, first immersion-cooling order received. But exports hit by the Red Sea shipping crisis; full-year profit still slipped to ₹201 cr.	Delivered
FY24–25 (repeated)	EV coolants, data-centre immersion cooling and battery-storage fluids to add "significant volumes."	Two years on, these remain "nascent / in advanced approvals" with no disclosed revenue.	Too-early
FY25 (through Q3)	Margins "recovering," "normalisation in coming quarters."	Instead margins hit a low — FY25 profit sank to ₹113 cr (from ₹260 cr in FY22), operating margin just 5.4%, return on capital 11%.	Missed
FY26 (Aug'25–May'26)	Double-digit growth across divisions; premiumise the portfolio; keep restoring margins.	Delivered strongly — record revenue, record volume (5 lakh KL), profit before tax +57%, margins recovered.	Delivered

Narrative drift: Remarkably little. Management has repeated the same three-part story — ester platform, premiumisation, India power-infra demand — almost word-for-word every quarter since 2023, and it was transparent about the headwinds (crude-oil swings, rupee, Red Sea freight). It delivered the ester plant on time and produced a genuine FY26 rebound. **The two caveats:** (1) net profit fell for two straight years (FY24 and FY25) even while the upbeat ester story kept being told — a real bottom-line miss before FY26 recovered; and (2) the most exciting promised drivers (data-centre, EV and battery-storage fluids) have stayed "nascent" for over two years with no revenue to point to. So the story is steady and honest, the core was delivered, but the headline futuristic growth engines are still unproven.

5. Bottom line — the two verdicts

Durable earning trigger? → MAYBE

There *is* a concrete, still-live driver: India's transformer-oil and power-infrastructure demand, plus a scaling premium-lubricant range — and FY26 proves it is working (record volumes, profit before tax up 57%). But Savita remains a thin-margin (6–7% operating margin) processor whose raw material is a volatile commodity, so earnings swing hard with base-oil prices and the rupee — profit halved between FY22 and FY25 before recovering. And the transformative part of the thesis (data-centre / EV / battery-storage ester fluids) is still tiny after two years. This is real momentum, not yet a proven step-change in earning power — hence MAYBE, not YES.

Management consistent? → MAYBE (leaning yes)

Management has told one steady, honest story for four years, delivered its flagship ester plant on time, returned cash through dividends and buybacks, and engineered a strong FY26 turnaround — all signs of reliable operators. What holds it back from a clean YES: net profit missed for two consecutive years (FY24–FY25) against a persistently optimistic ester narrative, and the flashiest promised growth engines (immersion cooling, EV coolants, storage fluids) remain unproven more than two years after they were first hyped. Trustworthy and steady on the core; mixed on delivering the headline new-growth promises.

Note on sources: Savita Oil holds no earnings concalls, so there are no analyst-call transcripts. The management view here is drawn from 16 consecutive company-authored quarterly investor decks (Aug 2022–May 2026), each carrying a signed Chairman & MD statement, cross-checked against the company's reported financial statements and supplemented with public FY26 filings and independent India-transformer-market research.